**RURAL WATER DISTRICT NO. 1**
**LANCASTER COUNTY, NEBRASKA**

## STATEMENT OF FINANCIAL POSITION
**DECEMBER 31, 2025**

| | |
|---|---|
| **ASSETS** | |
| **CURRENT ASSETS:** | |
| Cash and cash equivalents | $ 464,314 |
| Investments | 654,576 |
| Accounts receivable – trade | 127,165 |
| Accounts receivable – other | 44,768 |
| Accrued interest receivable | 290 |
| Prepaid insurance | 81,591 |
| Inventory | 151,171 |
| Lease receivable | 41,945 |
| Total current assets | 1,565,820 |
| **RESTRICTED ASSETS:** | |
| Investments | 69,128 |
| Total restricted assets | 69,128 |
| **NON-CURRENT ASSETS** | |
| Lease receivable, non-current | 436,471 |
| Bond issuance costs, net | 69,180 |
| Total non-current assets | 505,651 |
| **CAPITAL ASSETS** | |
| Land and construction in process, | 3,108,214 |
| Capital assets | 26,310,697 |
| Less accumulated depreciation | (10,600,862) |
| Net capital assets | 18,818,049 |
| **TOTAL ASSETS** | $20,958,648 |

See accompanying notes to financial statements

**RURAL WATER DISTRICT NO. 1**
**LANCASTER COUNTY, NEBRASKA**

## STATEMENT OF FINANCIAL POSITION
## DECEMBER 31, 2025

| | |
|---|---|
| **LIABILITIES** | |
| **CURRENT LIABILITIES** | |
| Payable from current assets | |
| Accounts payable | $ 71,466 |
| Accrued compensated absences | 81,170 |
| Other accrued liabilities | 31,451 |
| Total payable from current assets | 184,087 |
| Payable from restricted assets | |
| Current portion of long-term debt | 200,913 |
| Accrued interest payable | 55,918 |
| Total current liabilities from restricted assets | 256,831 |
| Total current liabilities | 440,918 |
| **NON-CURRENT LIABILITIES** | |
| Long-term debt, net of current portion | 3,866,470 |
| Requests for future service | 35,000 |
| Total non-current liabilities | 3,901,470 |
| **TOTAL LIABILITIES** | 4,342,388 |
| **DEFERRED INFLOWS OF RESOURCES** | |
| Leases | 478,416 |
| Total deferred inflows of resources | 478,416 |
| **NET POSITION** | |
| Net investment in capital assets | 14,750,666 |
| Restricted for debt service | 69,128 |
| Unrestricted | 1,318,050 |
| **TOTAL NET POSITION** | $16,137,844 |

See accompanying notes to financial statements

**RURAL WATER DISTRICT NO. 1**
**LANCASTER COUNTY, NEBRASKA**

## STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
## YEAR ENDED DECEMBER 31, 2025

| | |
|---|---|
| **OPERATING REVENUES** | |
| Metered water sales | $ 2,236,657 |
| Other | 29,718 |
| Total operating revenues | 2,266,375 |
| **OPERATING EXPENSES** | |
| Salaries and wages | 705,417 |
| Billing expenses | 203,423 |
| Payroll taxes | 54,260 |
| Employee benefits | 38,622 |
| Engineering fees | 16,565 |
| Legal and accounting fees | 35,608 |
| Repairs and maintenance | 261,107 |
| Lab fees | 8,673 |
| Insurance | 177,513 |
| Supplies | 9,835 |
| Office supplies | 20,233 |
| Utilities and telephone | 117,985 |
| Vehicle expense | 34,716 |
| Advertising | 300 |
| Memberships, registration and bond fee | 23,286 |
| Postage fees | 16,373 |
| Depreciation and amortization | 621,205 |
| Total operating expenses | 2,345,121 |
| **OPERATING INCOME (LOSS)** | (78,746) |
| **OTHER REVENUE (EXPENSE)** | |
| Interest income | 58,131 |
| Rental income | 68,412 |
| Annexation income | 32,292 |
| Interest expense | (224,619) |
| Capital contributions – hookup fees | 90,842 |
| Reimbursed expenses | (13,965) |
| Total other revenue (expense) | 11,093 |
| **CHANGE IN NET POSITION** | (67,653) |
| **NET POSITION, beginning of year** | 16,205,497 |
| **NET POSITION, end of year** | $16,137,844 |

See accompanying notes to financial statements

**RURAL WATER DISTRICT NO. 1**
**LANCASTER COUNTY, NEBRASKA**

## STATEMENT OF CASH FLOWS
## YEAR ENDED DECEMBER 31, 2025

| | |
|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | |
| Cash received from customers | $ 2,266,375 |
| Cash payments to employees | (705,417) |
| Cash payments for other operating costs | (913,621) |
| Net cash provided by operating activities | 647,337 |
| **CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES** | |
| Rental income | 68,412 |
| Net cash provided by noncapital financing activities | 68,412 |
| **CASH FLOWS PROVIDED BY CAPITAL AND RELATED FINANCING ACTIVITIES** | |
| Payments for capital assets | (522,763) |
| Contributions from consumers | 90,842 |
| Reimbursed expenses | (13,965) |
| Annexation income | 32,292 |
| Principal paid on long-term debt obligations | (171,772) |
| Interest paid on long-term debt obligations | (224,619) |
| Net cash used in capital and related financing activities | (809,985) |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | |
| Redemption of investments | 275,368 |
| Withdrawal from bond reserve accounts | (22,343) |
| Interest received | 58,131 |
| Net cash provided by investing activities | 311,156 |
| **NET INCREASE IN CASH** | 216,920 |
| **CASH AND CASH EQUIVALENT, beginning of year** | 247,394 |
| **CASH AND CASH EQUIVALENT, end of year** | $ 464,314 |
| INTEREST PAID | $ 224,619 |

See accompanying notes to financial statements

**RURAL WATER DISTRICT NO. 1**
**LANCASTER COUNTY, NEBRASKA**

## STATEMENT OF CASH FLOWS
## YEAR ENDED DECEMBER 31, 2025

Reconciliation of Operating income to Net Cash Provided by Operating Activities:

| | |
|---|---|
| Operating income (loss) | $ (78,746) |
| Adjustments to reconcile operating income | |
| to net cash provided by operating activities: | |
| Depreciation expense | 615,993 |
| Amortization expense | 5,212 |
| (Increase) decrease in assets: | |
| Accounts receivable | 45,687 |
| Prepaid insurance | (66,891) |
| Inventory | 37,779 |
| Increase (decrease) in liabilities | |
| Accounts payable | 61,290 |
| Accrued interest payable | 54,803 |
| Payroll liabilities | 2,479 |
| Requests for future services | (50,000) |
| Other accrued liabilities | 19,731 |
| Total adjustments | 726,083 |
| Net cash provided by operating activities | $ 647,337 |

See accompanying notes to financial statements